QUIZ

HOW SMART ARE YOU?

Do you know about loans as much as you think you know?

BEGINNER

Q1. What is Principal?

a. The amount of money you borrow

b. The amount of loan you repay

c. The difference between the money you repay and borrow

Q2. Who is a Borrower?

a. One who lends money

b. One who defaults repayment

c. One who repays the loan

Q3. What is Collateral?

a. An asset you buy with the loan

b. An asset you pledge to a lender to get a loan

c. An asset you have bought by repaying the loan

Q4. What is EMI?

a. Equated monthly instalment

b. Equal monthly interest

c. Equated monthly income

Q5. What is secured loan?

a. A loan without collateral

b. A loan with collateral

Q6. What is PDC?

a. Post-dated cheque

b. Paid due cheque

INTERMEDIATE

Q1. What is Loan Amortisation?

a. It determines how much of the repayment goes to principal and interest

b. It determines how much of the repayment goes towards principal

c. It determines how much of the repayment goes towards interest

Q2. What is a joint loan?

a. When two people are named in a home loan

b. When one takes two loans at the same time

Q3. You can get a loan for?

a. Buying a house

b. Refurbishing a house

c. Home improvement

d. All of the above

Q4. What is Credit Score?

a. A number that indicates how much loan the borrower is repaying

b. A number that indicates the borrower's capacity to repay the loan

Q5. What is an unsecured loan?

a. Loan without collateral

b. Loan with collateral

Q6. What is APR?

a. Annual Percentage Ratio

b. Annual Percentage Rate

c. Annual Premium Rate

EXPERT

Q1. What is LTV?

a. Loan-to-vehicle ratio

b. Loan-to-value ratio

Q2. Who is a co-signer?

a. Someone who signs a loan to transfer it to the other person

b. Someone who signs a loan and takes on the repayment liability

Q3. Home loan repayment tax benefits are on?

a. Principal

b. Interest

c. Principal and Interest

Q4. A default is when...

a. A borrower repays less than what is due

b. A borrower repays in full

c. A borrower does not repay the loan

Q5. Who is a guarantor?

a. One who ensures that a borrower repays his loan

b. One who repays the loan

c. One who pays the borrower to pay the lender

Q6. What is a top-up loan?

a. Additional loan provided to repay an existing loan

b. Additional loan provided on an existing loan

Flip page to see answers

BEGINNER

1. a. The amount of money you borrow
2. c. One who repays the loan
3. b. An asset you pledge to a lender to get a loan

INTERMEDIATE

1. a. It determines how much of the repayment goes to principal and interest
2. a. When two people are named in a home loan
3. d) All the above

EXPERT

1. b. Loan to value ratio
2. b. Someone who signs a loan and takes on the repayment liability
3. c. Principal and Interest

4. a. Equated monthly instalment
5. b. A loan with collateral
6. a. Post dated cheque

4. b. A number that indicates the borrower's capacity to repay the loan
5. a. Loan without collateral
6. b. Annual Percentage Rate

4. c. A borrower does not repay the loan
5. a. He ensures that a borrower repays his loan
6. b. Additional loan provided on an existing loan